Partnerships for Sustainable Prosperity

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FOREWARD

India and Malawi share a longstanding relationship built on mutual respect, South-South cooperation, and a common aspiration for inclusive and sustainable economic development. As global economies become increasingly interconnected, strengthening bilateral partnerships through trade, investment, technology transfer, and institutional collaboration presents significant opportunities for accelerating growth and creating shared prosperity.

The Chamber of Commerce and Industry of India (CCI India) remains committed to supporting the expansion of India's economic engagement with emerging African economies, with Malawi representing a strategic partner possessing substantial potential across agriculture, agribusiness, mining, renewable energy, tourism, manufacturing, infrastructure, healthcare, education, and digital transformation. By facilitating meaningful partnerships between governments, businesses, financial institutions, development organizations, and innovation ecosystems, CCI India seeks to promote sustainable investments that generate employment, strengthen value chains, and contribute to long-term economic resilience.

This Knowledge Paper has been prepared as a comprehensive resource highlighting Malawi's economic landscape, investment climate, sectoral opportunities, policy environment, and institutional framework while identifying areas where Indian expertise, technology, entrepreneurship, and private sector participation can contribute to the country's development priorities. The publication also explores practical pathways for expanding bilateral cooperation through investment facilitation, capacity building, technology exchange, infrastructure development, and enterprise partnerships across key sectors of the economy.

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The report is intended to serve as a valuable reference for policymakers, government agencies, investors, development finance institutions, industry associations, entrepreneurs, multinational corporations, startups, academic institutions, and development partners seeking to better understand Malawi's evolving economic opportunities and the immense potential for India–Malawi collaboration. Through informed dialogue and strategic engagement, it aims to encourage stronger commercial partnerships, enhance bilateral trade, promote responsible investment, and support sustainable and inclusive economic growth.

As India continues to strengthen its engagement with Africa under its vision of mutually beneficial development partnerships, Malawi stands as an important partner with significant opportunities for long-term cooperation. CCI India remains dedicated to fostering stronger institutional relationships, facilitating private sector participation, and creating platforms that translate shared aspirations into tangible economic outcomes. We are confident that deeper collaboration between India and Malawi will contribute not only to the prosperity of both nations but also to the broader objective of sustainable development and regional economic integration across Africa.



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MALAWI

> Experience the warm heart of Africa, where lakes and hospitality define life.



Introduction

Malawi is a landlocked country located in southeastern Africa with its capital at Lilongwe. It shares borders with Tanzania, Zambia and Mozambique. Malawi is widely known as the "Warm Heart of Africa" due to its peaceful political environment and friendly social culture.

The country's economy is strongly agriculture-based, and it plays a key role in regional food and tobacco supply. India and Malawi maintain cordial diplomatic relations, and India has a resident High Commission in Lilongwe, which actively promotes trade, investment and development cooperation.

Basic Facts

The capital city of Malawi is Lilongwe, while the main commercial center is Blantyre. Malawi is a republic and a member of the African Union, COMESA and SADC regional groupings. The country is dominated by Lake Malawi, one of Africa's largest freshwater lakes, which plays an important role in fishing, tourism and climate balance. Malawi's economic structure is primarily rural and agriculture-driven.

Economy

Malawi's economy is heavily dependent on agriculture, which employs nearly 80% of the population. The main cash crops include tobacco, tea, sugar, cotton and groundnuts. Tobacco alone accounts for the largest share of export earnings and foreign exchange. Apart from agriculture, the economy also includes small-scale manufacturing, food processing, trade, transport and services. The industrial base remains narrow, and the country is highly dependent on imports for fuel, machinery, pharmaceuticals and consumer goods.

GDP (Gross Domestic Product)

Malawi's nominal GDP is estimated to be around US$ 14–16 billion. It is classified as a lowincome economy and remains highly vulnerable to climatic shocks such as droughts and floods. Economic growth in Malawi largely depends on agricultural performance, which directly affects exports, employment and government revenues.

Culture and Heritage

Malawi's culture is deeply rooted in community traditions, music, dance, and storytelling, reflecting the country's diverse ethnic composition. Known as the "Warm Heart of Africa," Malawi places a strong emphasis on hospitality, respect, and social harmony. Traditional authority structures, including chiefs and village elders, continue to play an important role in cultural preservation and local governance.

Trade with India (Bilateral Trade – in Billions)

Trade between India and Malawi has been steadily growing, though from a relatively small base. The bilateral trade between India and Malawi is estimated at approximately US$ 0.25–0.30 billion annually. India's exports to Malawi dominate the trade basket at around US$ 0.22–0.25 billion, while India's imports from Malawi are comparatively small, estimated at US$ 0.03–0.05 billion. The trade balance is strongly in India's favour.

Culture & Economic Ties with India

India and Malawi share friendly cultural and economic relations supported by regular diplomatic exchanges and development cooperation. Malawi actively participates in India's ITEC and ICCR scholarship programmes, which help in training Malawian students, civil servants and professionals. A small Indian community is engaged mainly in trade, pharmaceuticals, retail and agro-business. Indian companies are present in medicines, transport equipment, food supply and consumer goods sectors, strengthening grassrootslevel economic engagement between the two countries.



Strategic Importance & Key Observations

Malawi is an important agricultural economy in Southern Africa, particularly for tobacco, tea and sugar production. For India, Malawi represents a stable and friendly partner with growing demand for pharmaceuticals, food products, machinery and infrastructure-related goods. There is strong future potential for cooperation in agro-processing, irrigation, renewable energy, healthcare, fertilizers and rural infrastructure development. However, Malawi's growth remains constrained by climate risks, infrastructure limitations and foreign exchange shortages. With sustained reforms and investment, Malawi offers long term opportunities for Indian trade and development partnership.

Import & Export from India

India exports a wide range of essential goods to Malawi including pharmaceuticals, rice, machinery, vehicles, fertilizers, plastics, textiles, and iron and steel products. Indian medicines play a critical role in Malawi's public healthcare system due to their affordability and quality. On the import side, India mainly imports pulses, tea, sugar, cotton and small quantities of agricultural produce from Malawi. Tobacco, despite being Malawi's top export globally, has limited direct exports to India compared to other destinations.



1) INTRODUCTION AND STRATEGIC CONTEXT

India and Malawi are separated by geography but connected by complementarity. The Republic of Malawi, occupying a landlocked position in Southeastern Africa, has emerged as one of the continent's most stable and rule-of-law-oriented policies, maintaining a democratic political system with regular elections and generally peaceful transfers of power, creating a stable environment for long-term economic cooperation and competitive electoral processes. This political stability creates foundation conditions for long-term commercial engagement.

India's development trajectory offers direct relevance for Malawi's transformation priorities. Over the past four decades, India has transitioned from chronic food deficit to global leadership in agricultural production and agribusiness innovation achievements predicated on deliberate technological adoption, institutional innovation, and strategic policy reform. India's green revolution transformed cereal production; contemporary Indian agricultural sectors spanning dairy cooperatives, horticulture modernization, and processed foods demonstrate sophisticated capabilities applicable to Malawi's context.

The Chamber of Commerce India (CCI) serves as a leading business organization dedicated to promoting trade, investment, industry, entrepreneurship, and international economic cooperation for international business engagement, with membership encompassing large multinational corporations alongside SMEs, membership bases across India's states and major cities, and established relationships with Indian government agencies, development finance institutions, and multilateral entities.

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Malawi's development priorities converge strikingly with India's demonstrated sectoral capabilities. The government has identified agricultural productivity enhancement as paramount, prioritizing irrigation development, dairy modernization, horticulture expansion, and value chain strengthening. These priorities align closely with India's experience and capabilities in agricultural development and agribusiness: India has developed significant expertise in seed production, dairy cooperative models, food processing, agricultural mechanization, irrigation technologies, and agribusiness value chain development. These capabilities provide valuable opportunities for knowledge transfer, technology sharing, and investment partnerships with Malawi.

The current policy and investment environment presents a significant opportunity to strengthen economic cooperation between India and Malawi. Malawi's government has implemented significant policy reforms supporting investment, including foreign exchange liberalization, reduced regulatory barriers, tax incentive frameworks, and establishment of investment facilitation institutions. Malawi's COMESA and SADC membership provides preferential market access to over 300 million people, offering competitive advantage for regional distribution.

2) MALAWI ECONOMIC OVERVIEW

Malawi occupies an important position within the Southern African economic landscape. The country has maintained a democratic political system and a relatively stable governance environment, while its economy continues to reflect the characteristics of a lower-income nation, including a strong dependence on agriculture, a limited industrial base, and evolving technological capabilities.

Despite periodic economic shocks arising from climate change, global commodity price fluctuations, and external economic pressures, the Malawian economy has demonstrated resilience and moderate long-term growth over the past decade.

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